

7.2.2 Dos and don'ts for option sellers

Dos

- Sell OTM or deep OTM options to benefit from theta decay.
- Evaluate risk-reward before placing trades.

Don'ts

- Don't ignore the risk of sharp price movement—losses can be significant.
- Don't sell options without a clear exit or risk management strategy.

7.2.3 General dos and don'ts

Dos

- Follow a disciplined approach. Use predefined setups, execute strategies with consistency, and cut losses early.
- Use hedging to mitigate the impact of volatile events.

Don'ts

- Never risk all your premiums as a buyer or incur unlimited risks as a seller.